

BOARD HUMAN RESOURCES AND REMUNERATION COMMITTEE REPORT

We have implemented strategic initiatives to enhance employee development, align remuneration with performance, and promote a culture of inclusivity and engagement. Our commitment to fair and competitive compensation practices ensures that we attract and retain top talent, driving our Company's continued success

PURPOSE OF THE COMMITTEE

The Board Human Resources and Remuneration Committee is required to establish a formal and transparent procedure for developing a Policy on Executive Directors' remuneration and for fixing the remuneration packages of the individual Directors



Mr. Ashane Jayasekara
Chairman - Board Human Resources and Remuneration Committee

COMPOSITION OF THE COMMITTEE

BOARD MEMBER	BOARD STATUS
Mr. Ashane Jayasekara	Independent Non-Executive Director (Chairman)
Mr. G A R D Prasanna	Non-Executive Director
Ms. Yanika Amarasekera	Independent Non-Executive Director

COMMITTEE MEETINGS

The Board Human Resources and Remuneration Committee convened three (3) meetings during the year under review complying with the regulatory requirements. Details regarding the attendance of Committee are stated on page 174. Managing Director, Executive Directors, Chief Financial Officer and AGM – Human Resources attend the meetings by invitation, and provide relevant information and their views to the Committee for its deliberations, except when the Executive Directors' / KRPs' (as applicable) own remuneration packages and other matters relating to them are discussed. Company Secretaries functioned as the Secretary to the Committee. Proceedings of the Committee were reported to the Board. The recommendations made by the Committee during the year under review were duly approved by the Board.

REGULATIONS/RULES RELEVANT TO THE FUNCTIONS OF THE COMMITTEE

The Committee was formed by the Board in compliance with the Listing Rules of the Colombo Stock Exchange and it conforms to Section 10.5 of Finance Business Act Direction No.5 of 2021 and its composition is in line with Rule 9.12.6 of the Listing Rules.

FUNCTIONS

The functions of the Committee include the following:

- To make recommendations to the Board on the Remuneration Policy of the Company.
- To make recommendations on the compensation and benefits of the Managing Director and Executive Directors.
- To oversee any major changes in the employee remuneration and benefit structures throughout the Company, to consider and examine such matters as it considers appropriate.
- To make recommendations on other related matters referred to the Committee by the Board of Directors.

ACTIVITIES DURING THE YEAR

During the meetings the Committee had in the year under review, it reviewed and made recommendations to the Board on bonus payments to Executive Directors and staff, the structure for staff performance evaluations, increments and promotions and staff salaries in general, the Policies on Remuneration to be aligned with the Finance Business Act Directions No.5 of 2021 on Corporate Governance and the remuneration structure of the Executive Directors.

POLICIES AND PROCEDURES

The Committee operates within the terms of reference as approved by the Board. As per the said terms of reference, the Committee shall consist of not less than three (3) members, comprising exclusively of non-executive directors, a majority of whom shall be independent.

The Committee shall meet at least twice in a financial year and additional meetings may be called at any time at the Chairman's discretion or by a member in consultation with the Chairman. As required by the said terms of reference, the Committee reviewed the terms of reference in September 2023, and recommended changes thereto to be in strict conformity with the Finance Business Act Directions No. 05 of 2021.

REMUNERATION POLICY

The primary objective of the Remuneration Policy of the Company is to align remuneration with performance, whilst ensuring that the Company is able to attract and retain employees critical to deliver the Company's strategy and to make continued progress towards ensuring a high performing culture in line with the Company's values. Through the Remuneration Policy, the Company endeavours to encourage an entrepreneurial mindset by creating a working environment that motivates high performance so that all employees can positively and ethically contribute to the strategy, vision and goals of the Company while upholding its values.

DIRECTORS' REMUNERATION

The total amount paid as Directors' remuneration during the year under review is set out in Note 3.1 to the Financial Statements, which is in line with the Policy for Directors' Remuneration adopted by the Board on 17th February 2021.



Ashane Jayasekara
Chairman
Board Human Resource and
Remuneration Committee

27 May 2024

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